

Fibonacci Relationships

One of Elliott's most significant discoveries is that the number of waves that exist in the stock market's patterns reflects the Fibonacci sequence of numbers (1, 1, 2, 3, 5, 8, 13, 21, 34, etc.), an additive sequence that nature employs in many processes of growth and decay, expansion and contraction, progress and regress. The sequence is governed by the Fibonacci ratio, which is .618 or ϕ (phi), the only number when divided into 1 equals itself plus 1, i.e., 1.618. ϕ is (after the first few numbers) the ratio between adjacent terms in not only the Fibonacci sequence, but in any additive sequence that derives from adding two successive terms to get the next, which is why nature employs it so ubiquitously in growth patterns. Alternate terms in such sequences are related by ϕ^2 , or .382, whose inverse is 2.618. Elliott's observation that markets unfold in sequences of five and three waves led inescapably to the conclusion that bear markets, bull markets and complete cycles produce a Fibonacci number of subwaves that follow the entire sequence, as illustrated in Figure A-2. Because Fibonacci ratios appear throughout the price and time structure of the stock market, they apparently govern its progress.

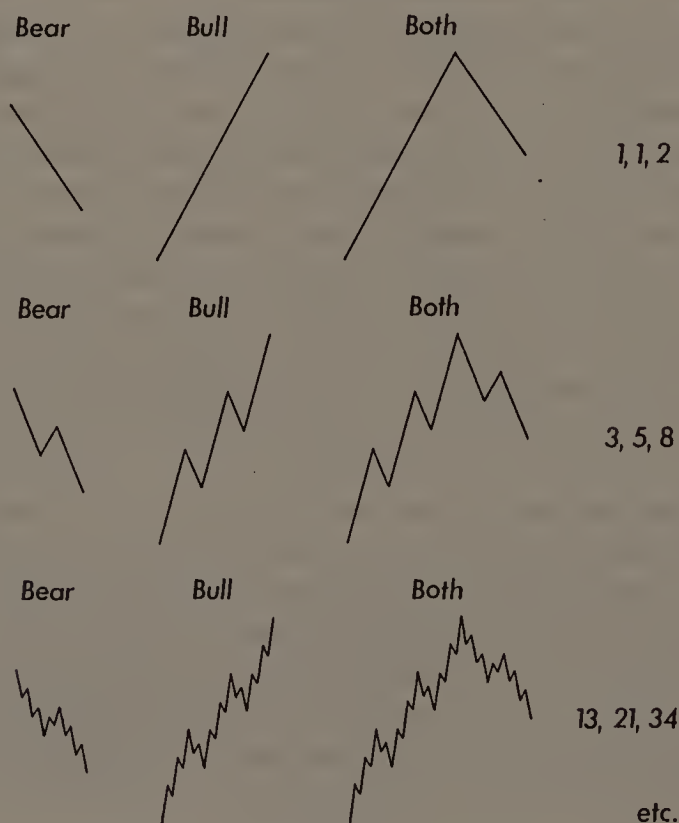


Figure A-2